

Myntra Performance Analysis

Key Insights & Business Actions

Dataset: 4,500 Orders | 10 Categories | 4 Customer Segments | 2023 – 2025

Background

Myntra is one of India's largest fashion e-commerce platforms, selling products across multiple categories — from clothing and footwear to accessories and kidswear. It serves customers in Tier-1 and Tier-2 cities through various payment options and delivery partners.

Although Myntra has been generating strong gross sales, internal reports show a growing gap between gross revenue and net revenue. This gap is mainly caused by high product returns, heavy discounting, and delivery issues — all of which are reducing actual profit.

Business Problem

The leadership team is concerned that despite growing order volumes, actual profit is not growing at the same pace. A large portion of revenue is being lost every year due to product returns, and the current discount strategy does not seem to be helping. The team needs a clear, data-driven picture of what is going wrong and where to focus efforts.

Rs. 20.43M	Rs. 16.89M	Rs. 3.55M	17.51%	3.59%
Gross Revenue	Net Revenue	Revenue Lost	Return Rate	YoY Net Growth

Objective of This Analysis

The goal of this analysis is to understand the current performance of Myntra's marketplace and identify the key reasons behind low net revenue growth. The findings will help the product and business team make better decisions about where to invest, what to fix, and how to improve profitability.

This analysis specifically focuses on:

Revenue Trends Understand how gross and net revenue have changed from 2023 to 2025.

Return Rate Analysis Find which categories and brands have the highest returns and why.

Discount Effectiveness Check whether giving high discounts is actually helping increase revenue.

Customer Segments	See how different customer groups behave and who contributes the most.
Delivery Performance	Measure how fast products are delivered and where delays are happening.
Geographic Growth	Identify top-performing states and cities with untapped potential.

Key Areas to Investigate

Before starting the analysis, the business team identified the following areas that need a closer look. Each area is based on early signals from the data:

1 Revenue Performance

Revenue is growing year over year, but the growth is very slow — only 1.03% in 2024 and 2.54% in 2025. The team needs to understand why net growth is so low despite increasing orders.

2 Category and Brand

Topwear and Bottomwear seem to have much higher return rates than other categories. Some brands also appear to perform worse than others. This needs to be confirmed with data.

3 Discount and Margin Impact

Myntra is offering an average discount of 37%, but profit is not increasing. The team wants to know if heavy discounting is actually helping sales or just reducing margins without real benefit.

4 Returns and Quality

A large number of returns are happening due to size issues, wrong product deliveries, and defective items. These are operational problems that can be fixed and need to be quantified.

5 Customer Segment

Premium and VIP customers appear to be growing faster than others. The team wants to understand how much revenue each segment contributes and whether high-value customers are being given the right attention.

Some states are performing much better than others, and Tier-2 cities are not well represented. Delivery times are averaging over 5.5 days with over 1,000 SLA breaches — this needs to be investigated.

Myntra Performance Analysis

Key Insights & Business Actions

The following six sections cover the most important findings from the data, along with a clear action for each one.

1 Revenue Performance

Insight Revenue loss of Rs. 3.55M is mainly caused by high product returns. Although revenue is growing year over year, the growth is very slow — 1.03% in 2024 and 2.54% in 2025.

Action Reduce returns by improving size information, product descriptions, and quality checks. Even a 5% drop in returns can recover Rs. 175K+ in revenue per year.

2 Category and Brand

Insight Topwear has the highest return rate at 20.94%, followed by Bottomwear at 19.70%. Among brands, Zara (22.22%), And (21.88%), and H&M (20.44%) have the worst return rates.

Action Improve size guides and product accuracy for these categories. Work with high-return brands to fix quality issues and reduce heavy discounting on them.

3 Discount and Margin Impact

Insight The average discount is 37%. But higher discounts are not leading to higher net revenue. Margins are being reduced without any clear benefit to growth.

Action Stop giving discounts on all products. Use offers only on slow-moving stock and protect high-demand categories from heavy discounting.

4 Returns and Quality

Insight 788 total returns were recorded with the top reasons being: Size Issue (122), Wrong Product Delivered (120), Defective Item (118), Not As Described (112), and Fit Issue (110). Most of these are avoidable.

Action Add size verification at checkout, improve warehouse accuracy to stop wrong deliveries, and add quality checks before products are dispatched.

5 Customer Segment

Insight Premium and VIP customers are growing faster than other segments and have average order values between Rs. 3.8K and Rs. 3.9K. But Premium customers also have the highest return rate at 18.54%.

Action Give VIP and Premium customers special loyalty offers, early access to collections, and personalised recommendations to reduce their return rate.

6 Geography and Delivery

Insight Maharashtra (Rs. 3.6M), Gujarat (Rs. 2.3M), and Madhya Pradesh (Rs. 2.2M) are the top states. Tier-2 cities are largely untapped. Average delivery time is 5.57 days with 1,000 SLA failures — this is too slow.

Action Expand marketing in Tier-2 cities. Improve delivery speed by setting stronger SLA targets with partners. Use Ecom Express (5.4 days) as the benchmark.

Expected Outcome

This analysis provides a clear and data-driven understanding of Myntra's current performance. It identifies the key reasons behind revenue loss, highlights which categories, brands, and regions need attention, and suggests practical actions that the business can take immediately.

The findings will help the leadership team decide where to invest, what to fix, and how to grow profit alongside revenue — not just order volume.

Final Takeaway

Myntra's problem is not demand — it's efficiency.

The company is generating revenue, but losing a large portion of it through high returns, over-discounting, and slow delivery. The biggest opportunity is not getting more customers — it is making sure existing orders are profitable, products are delivered on time, and returns are reduced.
